PayRule Update : Pradhan Mantri Rojgar Protsahan Yojana (PMRPY)

04th Oct 2017

Source:

1. **CAIU – Central Analysis and Intelligence Unit of Employees Provident Fund Organisation Notification No CAIU/11(71)2017/MOT 706 dated 31.07.2017**
2. **Revised Guidelines issued by the Minitry of Labour and Employment dated 23/02/2017**
3. **Employees Provident Fund Organisation Notification No R-I/PMRPY 2016/526/17346dated 30.09.2016**

1. Introduction:

The Government of India has launched a scheme to incentivize employers to create new employment by giving financial incentive under the Pradhan Mantri Rojgar Protsahan Yojana (PMRPY) by channeling the benefit through the PF Scheme. The benefits are different for establishments in Textile Manufacturing Sector and establishments which are not in Textile Manufacturing Sector

The following note only covers benefit available to all establishments who are not in Textile Manufacturing Sector

2. Extent of Benefit :

Typically, the employer contributes 13.15% of Wages(Basic + DA) towards Provident Fund of Each Employee. Under the Scheme, 8.33% of Employer Share (of wages) will be borne by the Government of India, and the employer will get the relief.

For Example - If an employee is drawing Basic Wages of Rs 10,000/- per month, the 8.33% comes to Rs 833, which will be borne by the Govt of India and the Employer will not need to bear the same. Hypothetically, if there are 10 such employees, the monthly benefit for that employer is Rs 8,330/-

There are other conditions which need to be fulfilled which are given below.

3. Eligible Employees

For an employee, to be eligble to avail the benefit under the Scheme, the following conditions need to be satisfied

a. He should have a UAN no which is created after 01.04.2016 (either with current or previous employer) i.e. he should have been covered under PF for the first time after 01.04.2016
b. The Monthly Wages/Salary of the Employee should be Rs 15000/- or less.
c. The aadhar should be seeded against the UAN i.e. the name and other details as available in PF (UAN) database should compulsorily match with the Aadhar Database

4. Duration of Benefit

There are contradicting provisions in the scheme document, hence, it is not clear the duration of the benefit available in the scheme. As such, the scheme is said to be valid from Apr 2016 to Mar 2019, but the benefit is available towards eligible employees for the span of 36 continuous months from the date of enrolment in the PMRPY.

Hence, it could be inferred that if we are availing the benefit under the Scheme towards an eligible employee for the first time in wage month Sept 2017, we or any future employer of the employee will be able to avail the benefit upto Aug 2020 (3 years from the first month). However, the same is not clear.

5. Procedure and Timeline

The Govt has come up with a separate portal for availing the benefit which is linked with the PF Portal. Hence, Apart from filing routine monthly compliance under the PF Scheme, the employer has to first register himself on the PMRPY Portal and also register the eligible employees on the portal before 10th of the following month. The monthly PF return also has to be accordingly adjusted to avail the PMRPY benefit

The employer has to digitally sign the data uploaded. Further, if the aadhar authentication fails, the employer, with the help of Regional PF Office, has to get the discrepencies resolved to be able to avail the benefit under the Scheme.

6. Reach Out to PayRule

If you have any concerns or queries, you may reach us at **support@payrule.in**, we request you to stick to mail communication and if you wish to talk to us you can drop a call back request on the mail, we will reach out to you.

The above is not an exhaustive details of the scheme and you may refer the scheme document for complete details. The above note is drafted to ensure understanding to a non-technical person. There are various other conditions which are not necessarily covered above.

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Disclaimer : We do not take any financial or legal obligation of the opinion given above. It is the writer's view and should not be considered as the legal interpretation of law

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